1.2.6 Government intervention	a) Government policy to deal with externalities: • taxation • subsidies • fines • regulation • pollution permits. b) Advantages and disadvantages of each government policy. c) Government regulation of competition to: • promote competition • limit monopoly power • protect consumer interests • control mergers and takeovers. d) Government intervention in the labour market: • reasons for minimum wage • advantages and disadvantages of minimum wage • the use of diagrams to show impact of the introduction of a minimum wage and the increase of a minimum wage.

Paper 2: Macroeconomics and the Global Economy

Externally assessed

Content description

In macroeconomics you will look at all the markets combined in a country. So you will now look at your own countries' and other countries' economies. You will look at the different objectives that governments will be concerned about. These include trying to achieve:

- low inflation
- low unemployment
- increases in economic growth
- surpluses or equilibrium on the current account of the balance of payments
- redistribution of income
- environmental protection.

For each objective, you will look at the issues and problems involved and how the government acts to improve the outcomes. You will then look at the global economy. This will involve looking at the benefits and problems of increased integration between economies of the globe. You will look at international trade and how countries come together as trading partners to boost growth. Exchange rates will also be looked at to consider how changes can affect an economy. You will study both developing and developed economies.

Assessment information

Examination of 1 hour and 30 minutes, set and marked by Pearson.

Single tier of entry.

The total number of marks available is 80.

The examination paper consists of four compulsory questions, each worth 20 marks. The questions are a mixture of multiple-choice, short-answer, data response and open-ended questions.

Each question will be based on a particular topic from the subject content related to macroeconomics and the global economy. Due to the nature of economics, there is some interrelation between topics.